AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Lululemon Athletica

NASDAQ : LULU · Mature-Company DCF

$11.01B mkt cap · 114M sh · $1.8B cash, zero debt · $1.8B cash, no debt; ~114M shares; heavy buyback, no dividend; Revenue $11.1B FY25 (+5%, decelerating from +42%); ~22% op margin, ~$1.58B FCF; Down ~70% from the $340 high; US declining, China/international +20-29%

22 October 2026 · the qualitative

$96.53

THE CENTRAL QUESTION

Is lululemon's ~70% de-rating to ~8x FCF an overshoot on a still-profitable premium brand — or the early innings of structural brand impairment (US decline, Alo/Vuori share loss)?

Lululemon trades at ~$12B (≈$101/sh, down ~70% from $340) — ~8x FCF on $11.1B revenue, ~22% operating margins, net cash and a heavy buyback. Growth has decelerated hard (+42%→+5%, guided +2-4%): the US is shrinking (-1 to -3%) while China/international compound +20-29%. The mature DCF asks whether the brand stabilizes and defends margins, or whether dupes (Alo, Vuori) and stale product structurally impair it. The finding: even pricing real brand-impairment downside (ultra-bear -17%), the modal stabilization case at 8x FCF implies the de-rating overshot.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) +144.0% · 15% at or below spot

$205.93

expected fair value today

+113.3% vs spot $96.53

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$327.18	$520.37	$828.57	$1,320.84
3.39× spot	5.39× spot	8.58× spot	13.68× spot

WEIGHTING RATIONALE

Ultra Bear 15% Brand impairment; US decline; ~$85 (-17%).
Bear 27% Share loss; US shrinks; ex-growth; ~$158 (+56%).
Base 45% US steadies + China/intl; ~$236 (+132%).
Bull 10% New-CEO turnaround; ~$324 (+220%).
Ultra Bull 3% Full re-rate + China; ~$409 (+304%).

Bull (10%) + Ultra Bull (3%) together contribute $44.67 — 22% of the $205.93 expected value despite 13% combined probability. Today's spot ($96.53) sits 53% below the weighted expected.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR — $84.51

-12.5% vs spot

CAGR -3.8% WACC 11.5%
CAGR -3.8% Prob 15%

Brand impairment; US decline; margins crater.

BEAR — $157.77

+63.4% vs spot

CAGR +1.0% WACC 10.5%
CAGR +1.0% Prob 27%

Share loss continues; US shrinks; capped.

BASE — $235.52

+144.0% vs spot

CAGR +4.2% WACC 9.5%
CAGR +4.2% Prob 45%

US stabilizes; China/international compounds.

BULL — $324.02

+235.7% vs spot

CAGR +6.6% WACC 9.0%
CAGR +6.6% Prob 10%

New-CEO turnaround; margin recovery.

ULTRA BULL — $409.07

+323.8% vs spot

CAGR +9.2% WACC 8.5%
CAGR +9.2% Prob 3%

Full re-rate; China + footwear scale.

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO — LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Lululemon Athletica scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 27% Base 45% Bull 10% Ultra Bull 3% · Weighted expected $205.93 (+113.3% vs spot)

ULTRA BEAR $84.51

-12.5% vs spot

Probability 15%

Brand impairment; US decline; margins crater.

WHY 15%

The genuine bear: the founder himself called the product stale, US (50%+ of sales) is already declining, and DTC share fell 30%→24% in a year. 15% weight on real brand impairment.

WHAT HAPPENS

Brand heat fades like Under Armour's: US revenue keeps declining, Alo/Vuori and dupes take share, and the full-price model erodes into promotions. Revenue falls ~4%/yr; operating margins compress toward single digits.

A shrinking premium brand earns a distressed multiple — DCF ~$85, ~17% below spot. The net cash and buyback cushion the floor but can't offset structural impairment.

BEAR $157.77

+63.4% vs spot

Probability 27%

Share loss continues; US shrinks; capped.

WHY 27%

Share loss continues and the dupe pressure caps the multiple, but the brand doesn't break. 27% weight as the plausible 'stalls but survives' path given the bearish US momentum.

WHAT HAPPENS

The US stays soft and international decelerates; lululemon holds its position but doesn't grow, and tariffs/promotions keep margins below the historical peak. Revenue roughly flat, low-teens FCF margin.

DCF ~$158 (+56%) — even a 'dominant but ex-growth' brand at ~11x FCF is worth more than today's price; the de-rating already prices worse.

BASE $235.52

+144.0% vs spot

Probability 45%

US stabilizes; China/international compounds.

WHY 45%

Requires US stabilization (not re-acceleration) plus continued international compounding — consistent with FY26 guidance. 45% as the central outcome; the brand's cornered-resource fabrics + community don't vanish.

WHAT HAPPENS

The modal path: the US stabilizes under new CEO Heidi O'Neill (ex-Nike) while China/international keep compounding ~20%, blending to ~4% total growth at a defended ~22% operating margin.

DCF ~$236 (+132%). A stabilizing premium brand at 8x FCF with a long international runway is simply mispriced if the modal case plays out — the core of the thesis.

BULL $324.02

+235.7% vs spot

Probability 10%

New-CEO turnaround; margin recovery.

WHY 10%

O'Neill's product fix works and the US re-accelerates while international compounds — a real turnaround. ~10% weight; lululemon has done it before.

WHAT HAPPENS

The turnaround lands: product newness re-accelerates the US, international/China stay hot, footwear/men's scale, and margins recover toward 24%. Revenue compounds ~7%.

DCF ~$324 (+220%) — back toward the old growth-compounder valuation as the brand re-rates with the fundamentals.

ULTRA BULL $409.07

+323.8% vs spot

Probability 3%

Full re-rate; China + footwear scale.

WHY 3%

Everything works — US turnaround AND China AND categories AND a multiple re-rating. ~3%, the asymmetric upside the depressed entry is buying.

WHAT HAPPENS

The full turnaround: China becomes a second home market, footwear/men's/international all compound, and lululemon re-rates to a premium growth multiple. Revenue ~10% CAGR at peak margins.

DCF ~$409 (+304%) — the brand reclaims its compounder status; ~3% probability.

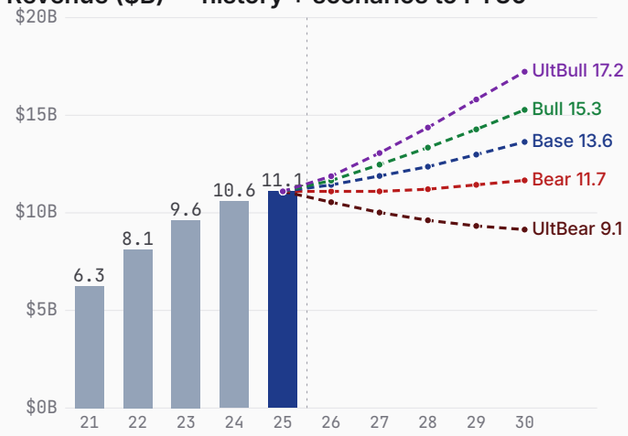
NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Lululemon Athletica business snapshot

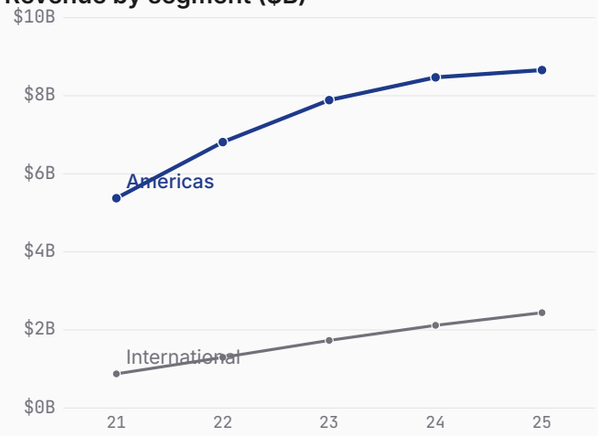
Bear $157.77 Base $235.52 Bull $324.02

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Jan · FY2025 (Feb'26) results

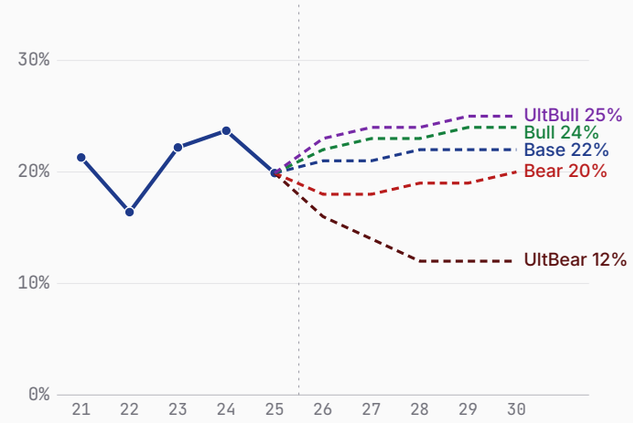
Revenue ($B) — history + scenarios to FY30



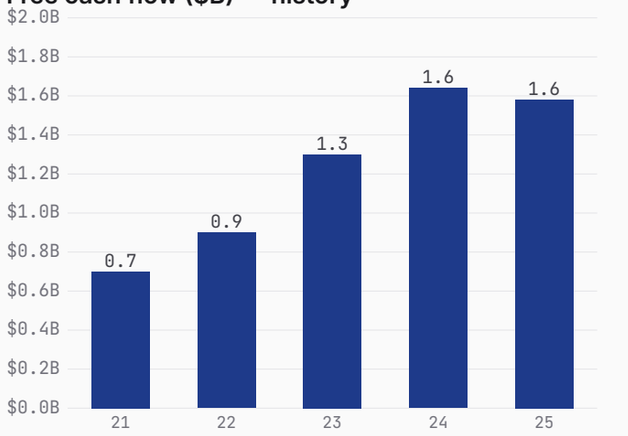
Revenue by segment ($B)



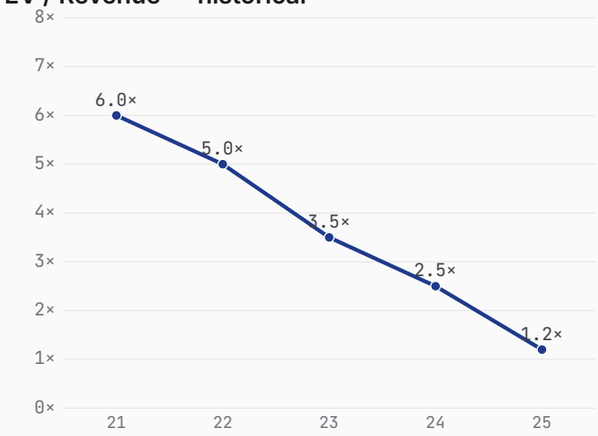
Op margin — history + scenarios



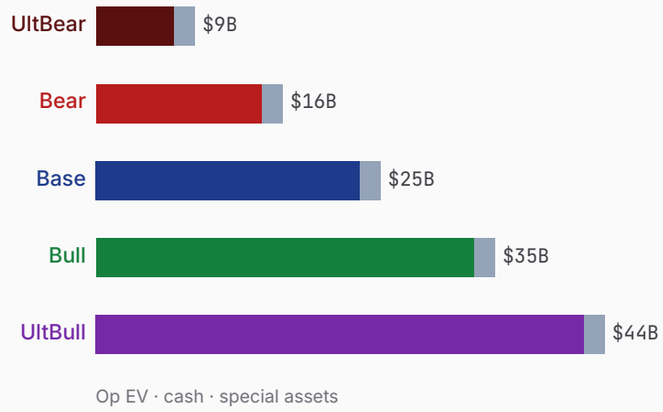
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: lululemon FY2025 results (year ended Feb 1, 2026; revenue $11.1B, FCF ~$1.58B, net cash ~$1.8B), FY2026 guidance, Earnest/Retail Dive share data. Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales vs premium-apparel peers.

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Lululemon Athletica 7 Powers · the moat, scored

Bear $157.77 Base $235.52 Bull $324.02

Arena. Premium athleisure — lululemon (brand + proprietary fabrics, ~60% DTC) vs Nike, Alo Yoga, Vuori, Athleta, On, fast-fashion dupes; defending a premium brand Power as US share erodes.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies	Sourcing/marketing leverage at $11B revenue, but apparel scale is limited vs Nike.
Network Economies	Community/ambassadors are brand affinity, not a hard network.
Counter-Positioning	Was the women's-first disruptor; now the incumbent being counter-positioned by Alo/Vuori.
Switching Costs	Weak — apparel is promiscuous; this is why dupes bite.
Branding · thesis leans here	The dominant Power: premium pricing, cult community, ~58% gross margin — but eroding in US (DTC share 30%→24%).
Cornered Resource	Proprietary fabrics (Nulu/Luxtreme/Everlux) + fit/quality + patents — durable, the hardest piece to dupe.
Process Power	Design/supply learning curve; modest.

PEER SET

Nike — 2% gr · 11% mgn · ~25x P/E
Scale leader, mid-cycle reset; women's/DTC is lululemon's edge vs Nike.

Alo Yoga — · private
Influencer-led, fashion-forward; ~88% growth, taking US share at higher tickets.

Vuori — · private
Workout-to-everyday; ~33%+ growth, premium-priced, gaining share.

On Holding — 30% gr · 10% mgn · ~45x P/E
Premium performance, fast-growing; adjacency pressure.

THREAT VECTORS · FALSIFIERS

Branding · Alo Yoga + Vuori (US share)
falsifier: Americas revenue declines for 2+ years while DTC share falls below 22%.

Counter-Positioning · Fast-fashion dupes
falsifier: Gross margin compresses below 55% on sustained promotions/markdowns.

Scale Economies · Nike / macro down-trade
falsifier: International growth decelerates below 10% while the US keeps shrinking.

> **COMPETITIVE READ**
> lululemon's brand Power is genuinely durable internationally (China +29%, only 16% of revenue) and underpinned by cornered-resource fabrics, but it is eroding in the saturated US where Alo/Vuori and dupes are taking DTC share and the founder calls the product stale. The ~70% de-rating to ~8x FCF prices structural impairment; the DCF tests whether the brand stabilizes — and even a real-impairment ultra-bear is only -17%, while the modal stabilization implies the sell-off overshot.

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Lululemon Athletica show your work

Bear $157.77 Base $235.52 Bull $324.02 · Weighted $205.93 (+113.3%)

ULTRA BEAR $84.51

ASSUMPTIONS

5y revenue CAGR (%)	-3.8
Year-5 op margin (%)	12.0
WACC (%)	11.5
Terminal growth (%)	0.0
Terminal FCF ($B)	$0.73B
Starting revenue ($B)	11.10
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	10.54	+16%	+1.05	+0.94
FY27	10.02	+14%	+0.90	+0.73
FY28	9.62	+12%	+0.77	+0.56
FY29	9.33	+12%	+0.75	+0.48
FY30	9.14	+12%	+0.73	+0.42

Σ PV explicit FCF	**+3.13**
+ PV terminal (g 0.0%)	3.69

EQUITY BUILD · $B & PER SHARE

Operating EV	$6.82B
+ Cash & investments	$1.80B
= Equity value	**$8.62B**
FY30 shares (M)	102
= Expected per share	**$84.51**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$145.64	$250.99	$432.54	$745.43
1.51×	2.60×	4.48×	7.72×

BEAR $157.77

ASSUMPTIONS

5y revenue CAGR (%)	+1.0
Year-5 op margin (%)	20.0
WACC (%)	10.5
Terminal growth (%)	1.5
Terminal FCF ($B)	$1.40B
Starting revenue ($B)	11.10
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	11.10	+18%	+1.22	+1.10
FY27	11.10	+18%	+1.22	+1.00
FY28	11.21	+19%	+1.34	+1.00
FY29	11.44	+19%	+1.37	+0.92
FY30	11.66	+20%	+1.40	+0.85

Σ PV explicit FCF	**+4.87**
+ PV terminal (g 1.5%)	9.58

EQUITY BUILD · $B & PER SHARE

Operating EV	$14.45B
+ Cash & investments	$1.80B
= Equity value	**$16.25B**
FY30 shares (M)	103
= Expected per share	**$157.77**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$259.92	$428.20	$705.44	$1,162.17
2.69×	4.44×	7.31×	12.04×

BASE $235.52

ASSUMPTIONS

5y revenue CAGR (%)	+4.2
Year-5 op margin (%)	22.0
WACC (%)	9.5
Terminal growth (%)	2.0
Terminal FCF ($B)	$1.91B
Starting revenue ($B)	11.10
Scenario probability (%)	45

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	11.43	+21%	+1.49	+1.36
FY27	11.89	+21%	+1.55	+1.29
FY28	12.37	+22%	+1.73	+1.32
FY29	12.98	+22%	+1.82	+1.26
FY30	13.63	+22%	+1.91	+1.21

Σ PV explicit FCF	**+6.44**
+ PV terminal (g 2.0%)	16.49

EQUITY BUILD · $B & PER SHARE

Operating EV	$22.93B
+ Cash & investments	$1.80B
= Equity value	**$24.73B**
FY30 shares (M)	105
= Expected per share	**$235.52**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$370.76	$583.67	$918.84	$1,446.47
3.84×	6.05×	9.52×	14.98×

BULL $324.02

ASSUMPTIONS

5y revenue CAGR (%)	+6.6
Year-5 op margin (%)	24.0
WACC (%)	9.0
Terminal growth (%)	2.5
Terminal FCF ($B)	$2.44B
Starting revenue ($B)	11.10
Scenario probability (%)	10

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	11.65	+22%	+1.63	+1.50
FY27	12.47	+23%	+1.87	+1.57
FY28	13.34	+23%	+2.00	+1.55
FY29	14.28	+24%	+2.28	+1.62
FY30	15.28	+24%	+2.44	+1.59

Σ PV explicit FCF	**+7.82**
+ PV terminal (g 2.5%)	25.05

EQUITY BUILD · $B & PER SHARE

Operating EV	$32.87B
+ Cash & investments	$1.80B
= Equity value	**$34.67B**
FY30 shares (M)	107
= Expected per share	**$324.02**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$498.54	$767.07	$1,180.24	$1,815.94
5.16×	7.95×	12.23×	18.81×

ULTRA BULL $409.07

ASSUMPTIONS

5y revenue CAGR (%)	+9.2
Year-5 op margin (%)	25.0
WACC (%)	8.5
Terminal growth (%)	2.5
Terminal FCF ($B)	$2.93B
Starting revenue ($B)	11.10
Scenario probability (%)	3

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	11.88	+23%	+1.78	+1.64
FY27	13.06	+24%	+2.09	+1.77
FY28	14.37	+24%	+2.30	+1.80
FY29	15.81	+25%	+2.69	+1.94
FY30	17.23	+25%	+2.93	+1.95

Σ PV explicit FCF	**+9.10**
+ PV terminal (g 2.5%)	33.28

EQUITY BUILD · $B & PER SHARE

Operating EV	$42.38B
+ Cash & investments	$1.80B
= Equity value	**$44.18B**
FY30 shares (M)	108
= Expected per share	**$409.07**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$615.10	$924.90	$1,390.73	$2,091.18
6.37×	9.58×	14.41×	21.66×

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Lululemon Athletica People · Opportunity · Context · Deal

Bear $157.77 Base $235.52 Bull $324.02

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Interim co-CEOs (M. Frank, A. Maestrini)

7%
insider ownership

MEDIUM
key-person risk

Capital allocation (realized)
No dividend; capital returned via large executed buybacks (~$2.5B / 9.1M shares Dec-2023→Aug-2025; +$1.0B Dec 2025, ~$1.6B remaining), otherwise reinvested in stores/product. The one notable deal — Mirror (~$500M, 2020) — failed: a ~$443M post-tax impairment (FY2022), hardware ceased 2023.

Incentive alignment
Standard structure (base + cash bonus + majority-equity PSU LTI). Say-on-pay passed but support slipped 93% (2024) → 83% (2025), into the range proxy advisors flag, and two directors drew weak support (76% / 72%).

GOVERNANCE FLAGS

- single-class (one share, one vote)
- independent chair, separate from CEO; but classified (staggered) board
- founder Chip Wilson ~8.7% (off the board since 2015) ran a public proxy fight
- settled May 2026: 2 Wilson nominees (+1 more) + a declassification commitment; ~18-mo standstill

> **PEOPLE READ**
> Professionalized and single-class with an independent chair and disciplined buybacks — but a live governance moment: CEO Calvin McDonald is out (Jan 2026; interim co-CEOs + external search), a founder proxy fight just settled (Chip Wilson ~8.7%, two board seats), a classified board, the failed Mirror deal, and slipping say-on-pay support.

THE FOUR LEGS

People
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator (LULU 1.42)

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
+113.3% vs spot $96.53

NOT INVESTMENT ADVICE · Not from a registered investment advisor · AI-assisted analysis · Author may hold positions · See full disclaimers, page 7

Lululemon Athletica supporting analysis · disclaimers · glossary

Bear $157.77 Base $235.52 Bull $324.02

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **~8x FCF for a 22%-margin brand.**
Net-cash, $1.58B FCF, ~22% operating margin — priced like a terminal-decline retailer, not a premium brand.

2 **Cornered-resource fabrics.**
Proprietary Nulu/Luxtreme/Everlux blends + fit/quality are the hardest thing for Alo/Vuori/dupes to replicate.

3 **Huge international runway.**
China +29%, international +22%, only ~16% of revenue — a multi-year growth engine the US weakness masks.

4 **Heavy buyback at the lows.**
No dividend; ~$1.6B authorization remaining, retiring shares at ~8x FCF — accretive.

5 **New CEO from Nike.**
Heidi O'Neill (ex-Nike) + a settled founder proxy fight = fresh product/turnaround optionality.

FALSIFICATION TRIGGERS

Bull validation

US/Americas revenue returns to growth · international stays >20% · gross margin re-expands above 58% · footwear/men's scale

Bear validation

Americas declines for 2+ years · DTC share falls below 22% · gross margin compresses below 55% on sustained promotions

Reframe needed

if the brand goes structurally cold (Under-Armour path) the cornered-resource Power erodes — re-rate the terminal toward a commodity-apparel multiple

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

Not investment advice.

This document is produced for entertainment and educational purposes only by an individual amateur investor. "Alameda Research 2: Electric Boogaloo" is the unincorporated personal concept of one person and is not a registered investment management entity. Nothing herein constitutes investment advice, a recommendation, or a solicitation to buy or sell any security.

Not a professional.

The author is not a registered investment advisor, broker-dealer, CFA charterholder, certified financial planner, or licensed financial professional of any kind. The author has no formal training in equity research or capital markets. No fiduciary relationship is created by reading this document.

AI-assisted analysis.

Substantial portions of this analysis were produced with the assistance of large language models. LLMs are known to fabricate facts, miscalculate numbers, hallucinate sources, and present incorrect information with high apparent confidence. Every figure, claim, and projection in this document should be independently verified before acting on it.

Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

Author may hold positions.

The author may own, intend to acquire, or hold short exposure to $LULU or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.

Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

DTC / wholesale — Direct-to-consumer (stores + digital, ~60% of sales, higher margin) vs wholesale; the channel mix that supports the brand premium.

Cornered resource — Helmer Power: proprietary fabrics + fit/quality that rivals can't easily copy — lululemon's most durable moat.

Dupes — Lower-priced look-alikes (and premium challengers Alo/Vuori) eroding lululemon's US share — the central bear mechanism.

FCF margin — Free cash flow / revenue (~14% in FY25); the mature-DCF lever the 22% operating margin converts to.

Power of Three x2 — Management's plan to double men's + digital and quadruple international vs 2021 — now at risk on the FY26 guide.